

Odds And Ends

FINM 37000 Futures And Related Derivatives

Eric Patterson, Fall 2025

Futures Market Making

Tactical/Strategic Components

- What is your market? Price and quantity to buy and sell.
- What is your plan if your quote is filled?
 - Are you leaning on a hedge?
 - Your hedge probably contributed to your quoted price and quantity.
 - Execute hedge immediately or wait for a better fill.
- What are your risk controls/what will you do when your hedge is not getting filled?

Futures Market Making

Tactical/Strategic Components

- How can you trade more without getting adversely selected?
 - Strategize order matching in your market.
 - From calendars notebook:
 - <https://databento.com/blog/cme-matching-algorithms-explained>
 - <https://cmegroupclientsite.atlassian.net/wiki/spaces/EPICSANDBOX/pages/457087723/Complex+Match+Example>
- Analyze microstructure

Software development practices

Optimizing your professional time

- This will be more important for your career with projects that your return to over months and years
 - Perhaps hard to see the payoff when projects end when homework is turned in or at the end of the quarter.
- “Slow is smooth, and smooth is fast.”
 - Taking the time to use good software practice can feel like a waste of time.
 - For big or long-term projects, this time pays off.
 - Bad software practices on important projects is a recipe for disaster.

Software development practices

Optimizing your professional time

- When to `git init`: now!
- When to package your software
 - You want to test it.
 - You want to share it (including/especially with yourself!)
- (Humorous?) R perspective from Jenny Bryan <https://tidyverse.org/blog/2017/12/workflow-vs-script/>
- Longer read about why your Jupyter habits may be hindering you <https://yihui.org/en/2018/09/notebook-war/>

Software development practices

Optimizing your professional time

- Get to know your software environment
 - Environment variables
 - Path(s)
- Don't break your system environment!
 - Use a virtual environment

Software development practices

Protecting your employer

- Practice safe secrets
 - Passwords and API keys should not be pasted in code.
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 - They belong in permissioned files and password-protected environments.